

levels?

Yes, the market went up because there was a switching out of international money from Asian markets, which were much, much larger.

What was the catalyst that finally broke the Russian market?

In early summer 2008, Goldman Sachs managed the sale of about \$25 billion of low-yielding, dollar-denominated, Russian sovereign 10-year Eurobonds to allow the Russian government to retire a similar amount of high-yielding GKO's. These Eurobonds started trading down from day one and then continued to fall steadily. Investors who had been persuaded to buy those bonds started seeing immediate large losses and were pretty upset. Foreign reserves, which were only about \$20 billion to \$25 billion at the time, should have doubled after the Goldman Sachs deal, making Russia safer and increasing the attractiveness of the Eurobonds, but they only increased by about \$3 billion. This blatant anomaly forced international investors and the international media, after years and years of being in denial, to finally question the whole notion of the legitimacy of Russia's capital accounts data. Where was the cash going? It is likely that the money was received by senior government officials, divvied up, and then most of it went straight to Switzerland. There is a moment when the market realizes that the emperor has no clothes, and in Russia this was that moment.

How come you still had such a large loss in August 1998 if you were completely out of Russia?

Even though I was 40 percent in cash, the invested portion of my portfolio consisted of good companies with very high betas. Virtually every stock I owned had a beta of 1.5 or higher. Although I didn't have any of the crap in Russia that went down 95 percent, I did have stocks that went down 70 or 80 percent because they were widely owned, since they were good quality companies. The difference was that these companies continued to produce 30 percent earnings growth per year, which meant that as soon as the market stabilized, their prices shot back up. In contrast, the earnings of the Russian companies evaporated, and their prices never rebounded. Being 40 percent in cash allowed me to avoid being a seller during the August crash and made it possible for me